managers to accept fundamental change. And even when managers accept the need for radical change, carrying out this plan is often too difficult for most managers to accomplish. Instead, many succumb to the temptation to buy a new company rather than face the financial facts of the current problem.

Why would they do this? Buffett isolates three factors as being most influential in management's behavior.

1. Most managers cannot control their lust for activity. Such hyperactivity often finds its outlet in business takeovers.
2. Most managers are constantly comparing their business's sales, earnings, and executive compensation to other companies within and beyond their industry. These comparisons invariably invite corporate hyperactivity.
3. Most managers have an exaggerated sense of their own capabilities.

Another common problem, we have learned, is poor allocation skills. CEOs often rise to their position by excelling in other areas of the company, including administrative, engineering, marketing, or production. With little experience in allocating capital, they turn instead to staff members, consultants, or investment bankers, and inevitably the institutional imperative enters the decision-making process. If the CEO craves a potential acquisition that requires a 15 percent return on investment to justify purchase, it's amazing, Buffett points out, how smoothly the troops report back that the business can actually achieve 15.1 percent.

The final justification for the institutional imperative is mindless imitation. The CEO of Company D says to himself, "If Companies A, B, and C are all doing the same thing, it must be all right for us to behave the same way."

They are positioned to fail—not, Buffett believes, because of venality or stupidity, but because the institutional dynamics of the imperative make it difficult to resist doomed behavior. Speaking before a group of Notre Dame students, Buffett displayed a list of 37 investment banking firms. Every single one, he explained, had failed, even though the odds for success were in their favor. He ticked off the positives: The volume of the New York Stock Exchange had multiplied 15-fold, and the firms were headed by hardworking people with very high IQs, all of whom had an intense desire